

Investor Questionnaire Draft - Week 2

This is the cleaned Week 2 questionnaire draft prepared from the team's working document. Comments and review markup were excluded from this submission copy.

1. Required Rate Of Return

Purpose: estimate the investor's goal and time horizon so the expected return target can later be checked against the available asset universe.

Questions

1. What is the purpose of this portfolio?

- To make a huge purchase
- Save for retirement
- Wealth building
- Other

2. Please specify the future dollar amount per year required for the selected purpose.

3. Goal time horizon?

- 5 years or less (1)
- 6 to 9 years (2)
- 10 or more years (3)

2. Risk Taking Ability

Purpose: estimate the investor's risk capacity using age, income stability, investment stage, and liquidity-related conditions.

Questions

1. Age

- Less than 20 (5)
- 20 to 29 (5)
- 30 to 39 (4)
- 40 to 49 (3)
- 50 to 59 (2)

- 60+ (1)

2. Income stability external to the portfolio?

- Stable (3)
- Somewhat Stable (2)
- Unstable (1)

3. What phase of your investment life would you say you are in?

- Capital Accumulation (2)
- Capital Disbursement (1)

Capacity Note

- If liquidity needs are greater than 5% and/or income is unstable, risk capacity is low.
- If time horizon is at least 10 years, liquidity need is under 5%, and there is other income, risk capacity is high.
- Cases between those extremes are treated as moderate.

3. Liquidity Need

Purpose: estimate how much of the portfolio should remain in cash or cash-like assets.

Working Formula

$(\text{Major expense} + 6 * \text{monthly essential expense}) / \text{portfolio value} * 100$

Questions

1. What is the value of your portfolio?

2. What is the total amount of cash you anticipate needing to withdraw from your investment portfolio for major expenses over the next 12 to 24 months?

- Less than 5%
- 6 to 9%
- 10 to 14%
- 15 to 25%
- More than 25%

3. What is the dollar amount of your essential expenses monthly?

4. What is the dollar amount of your monthly income?

5. How many months of your essential expenses have you put aside in case of emergency?

- 0 months (1)
- 1 to 3 months (2)
- 4 to 6 months (3)
- More than 6 months (4)

4. Risk Tolerance

Purpose: estimate the investor's emotional and psychological willingness to accept investment risk.

Tolerance Score Bands

- 6 to 10: very low
- 11 to 15: low
- 16 to 20: moderate
- 21 to 25: high
- 26 to 30: very high

Questions

1. What is your risk tolerance or willingness to take financial risk?

- Very Low (1)
- Low (2)
- Moderate (3)
- High (4)
- Very High (5)

2. What is your preference when holding risky assets?

- Maximize Safety (1)
- Mostly Safety (2)
- Mix of Safety and Return (3)
- Mostly Return (4)
- Maximize Returns (5)

3. How knowledgeable are you about financial and investment concepts?

- Not at All Knowledgeable (1)

- Minimally Knowledgeable (2)
- Moderately Knowledgeable (3)
- Competent (4)
- Very Knowledgeable (5)

4. How much experience do you have with investment products?

- None (1)
- Some (3)
- Extensive (5)

5. What is your opinion of the stock market?

- Very Risky (1)
- Somewhat Risky (2)
- Neutral (3)
- Somewhat Safe (4)
- Very Safe (5)

6. In the past, when faced with investment losses, what action did you take?

- Sold Out (1)
- Sold Some (2)
- Did Nothing (3)
- Purchased More (5)

5. Draft Investor Type Mapping

The current draft maps risk capacity and risk tolerance into investor bands as follows:

- Very Conservative
- very low tolerance and low risk capacity
- Conservative
- very low tolerance and moderate capacity
- low tolerance and low capacity
- Balanced
- moderate tolerance and moderate capacity
- low tolerance and high capacity
- Growth
- high tolerance and moderate capacity

- high tolerance and high capacity
- very high tolerance and moderate capacity
- Aggressive
- very high tolerance and high capacity

6. Draft Allocation Note

The current draft states that the liquidity-needs percentage will be allocated to cash assets, while the remaining portion of the portfolio will be split according to the final investor type logic once that allocation framework is finished.